

1.1.3 Demand, supply and market equilibrium	Demand a) Definition of demand. b) The use of demand curve diagram to show: • changes in price causing movements along a demand curve • shifts indicating increased and decreased demand. c) Factors that may cause a shift in the demand curve, including: • advertising • income • fashion and tastes • price of substitute goods • price of complementary goods • demographic changes. Supply d) Definition of supply. e) The use of supply curve diagram to show: • changes in price causing movements along a supply curve • shifts indicating increased and decreased supply. f) Factors that may cause a shift in the supply curve, including: • costs of production • changes in technology • indirect taxes • subsidies • natural factors (natural disasters and weather). Market equilibrium g) Equilibrium price and quantity and how they are determined. h) The use of diagrams to show: • how shifts in supply and demand affect equilibrium price and quantity in real-world situations • excess demand • excess supply. i) Define, calculate and draw excess demand and excess supply. j) The use of market forces to remove excess supply or excess demand.
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